# Statement of Issues

**4 September 2025**

# Insurance Australia Group Limited's proposed acquisition of RAC Insurance Pty Limited

## Purpose

1. Insurance Australia Group Limited (**IAG**) proposes to acquire 100 per cent of the shares in RAC Insurance Pty Limited (**RACI**) from the Royal Automobile Club of Western Australia Inc (**RAC**) and enter into a 20-year agreement for RAC to exclusively distribute insurance products underwritten by IAG under the RAC brand (the **Proposed Acquisition**).

2. This Statement of Issues:

    - gives the Australian Competition and Consumer Commission's (**ACCC**) preliminary views on competition issues arising from the Proposed Acquisition
    - identifies areas of further inquiry, and
    - invites interested parties to submit comments and information to assist the ACCC's assessment of the issues.

3. Statements of Issues do not refer to confidential information provided by the parties or other market participants and therefore may not fully articulate the ACCC's preliminary position.

## Overview of ACCC's preliminary views

4. In considering the Proposed Acquisition, the ACCC applies the legal test set out in section 50 of the *Competition and Consumer Act 2010* (the **CCA**). In general terms, section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market.

5. The ACCC divides its preliminary views into three categories: 'issues of concern', 'issues that may raise concerns' and 'issues unlikely to raise concerns'. In this Statement of Issues there are two 'issues of concern' and one 'issue that may raise concerns'.

### Issues of concern – horizontal unilateral effects in the supply of motor insurance and the supply of home and contents insurance in Western Australia

6. The ACCC's preliminary view is that the Proposed Acquisition is likely to have the effect of substantially lessening competition in the supply of motor insurance and the supply of home and contents insurance in Western Australia. While the ACCC is considering the impact of the proposed acquisition on the supply of motor insurance and separately on the supply of home and contents insurance, the reasons for the ACCC's competition concerns are similar across both types of insurance:
    - the Proposed Acquisition would increase concentration in already highly concentrated markets
    - RACI is a large and growing competitor that focusses on value for its customers, and competes closely with IAG, and the Proposed Acquisition would remove the significant competitive constraint IAG and RACI presently impose on each other
    - absent the Proposed Acquisition RACI is likely to continue to compete strongly in the supply of motor insurance and home and contents insurance in Western Australia, and
    - other existing insurers operating in Western Australia, and the threat of new entry or expansion, are unlikely to provide a sufficient competitive constraint on IAG post-acquisition.
7. The ACCC is concerned that the Proposed Acquisition would enable IAG to profitably increase the prices and/or reduce the service quality of its existing and RACI branded motor insurance and home and contents insurance product and service offerings.
8. The ACCC considers that if the Proposed Acquisition substantially lessens competition in the supply of motor vehicle insurance or the supply of home and contents insurance, the Proposed Acquisition is also likely to substantially lessen competition in markets for the acquisition of motor vehicle repair services or the acquisition of home repair services, respectively. However, the ACCC considers that competitive harm in these upstream markets is unlikely to come about in the absence of a substantial lessening of competition in the corresponding downstream market for the supply of motor vehicle insurance or the supply of home and contents insurance. Therefore, the ACCC has not raised its concerns regarding these upstream markets independently in this Statement of Issues.

### Issue that may raise concerns – foreclosure of competing suppliers of motor insurance and home and contents insurance in Western Australia

9. The ACCC's preliminary view is that the Proposed Acquisition may have the effect of substantially lessening competition in the supply of motor insurance and home and contents insurance in Western Australia by enabling IAG to foreclose or partially foreclose rival insurers' access to quality and cost-effective repairers or otherwise increase rivals' costs of acquiring repair services to service their insurance contracts with customers.

## Making a submission

10. The ACCC invites submissions from interested parties, particularly on the following key issues:

    - whether RACI is a strong competitor in the supply of motor insurance and separately in the supply of home and contents insurance in Western Australia – for example, through the quality of its service offering, local physical presence in the state, and/or value for money, and whether RACI is likely to continue to be a strong competitor absent the Proposed Acquisition
    - the closeness of competition between IAG and RACI in the supply of motor insurance and in the supply of home and contents insurance in Western Australia, the degree of competitive constraint they impose on each other, and the extent to which IAG and RACI would compete in the future absent the Proposed Acquisition
    - the degree of competitive constraint that existing insurers and potential new entrant insurers are likely to impose on the merged entity post-acquisition, and the nature of that constraint – for example, price only, or price, coverage, and service quality, etc, and
    - the likely extent to which IAG has the ability and incentive to foreclose or frustrate other insurers' access to repair services in Western Australia post-acquisition, including whether this differs between motor and home repairs as well as the competitive effect of any such strategy.

11. Interested parties should provide submissions by **5pm on 18 September 2025**. Responses may be emailed to mergers@accc.gov.au with the title: Submission re: IAG/RACI. If you would like to discuss the matter with ACCC staff or have any questions about this Statement of Issues, please email mergers@accc.gov.au.

12. The ACCC anticipates making a final decision on **27 November 2025**, however, this timeline can change. To keep up with possible timing changes and to find relevant documents, interested parties should visit the Mergers Register on the ACCC's website at https://www.accc.gov.au/public-registers/mergers-and-acquisitions-registers/public-informal-merger-reviews-register.

### Confidentiality of submissions

13. The ACCC will not publish submissions regarding the Proposed Acquisition. The ACCC will not disclose submissions to third parties (except its advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, please identify any confidential information that is provided to the ACCC. The ACCC's *Informal Merger Review Process Guidelines* contain more information on confidentiality.

## About ACCC ‘Statements of Issues’

14. A Statement of Issues is not a final decision about a proposed acquisition. A Statement of Issues outlines the ACCC’s preliminary views and identifies further lines of inquiry.

15. A Statement of Issues provides an opportunity for all interested parties (including customers, competitors, shareholders and other stakeholders) to ascertain and consider the primary issues identified by the ACCC. It is also intended to provide the merger parties and other interested parties with the basis for making further submissions should they consider it necessary.

## The parties and the proposed acquisition

**The acquirer: IAG**

16. IAG is an ASX-listed (ASX: IAG) general insurance company operating in Australia and New Zealand. As at 30 June 2025, IAG had 6.3 million direct customers across Australia and New Zealand.[1]

17. IAG provides a range of personal and commercial insurance products in Australia directly under its owned brands, including NRMA, Swann Insurance, ROLLiN’, Cylo and Lumley Special Vehicles.

18. Through its joint venture business, Insurance Manufacturers of Australia Pty Limited, IAG provides personal lines insurance in Victoria distributed by its joint venture partner RACV.

19. In addition, IAG provides intermediated insurance through brokers, authorised financial representatives, institutions and agents under the CGU and WFI brands. IAG also underwrites insurance products distributed by financial institutions, including Bendigo and Adelaide Bank, People’s Choice Bank and, since 2023, ANZ Bank.

20. For the financial year ended 30 June 2025, IAG reported $17.1 billion in gross written premiums and net profit after tax of $1,359 million.[2]

**The target: RACI**

21. RAC is a Western Australian based member-owned mutual association that provides roadside assistance, general insurance products, and other ancillary services to its members.

22. RACI underwrites motor insurance and home and contents insurance for RAC.

23. RAC distributes other personal lines of general insurance underwritten by third party insurers. Namely, RAC distributes travel insurance underwritten by Tokio Marine & Nichido Fire Insurance Co. Ltd. RAC also has arrangements in place for the supply of

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1 IAG, Annual Report 2025, p.7.

2 IAG, FY25 results, 13 August 2025, p.1.

health insurance underwritten by HCF, life insurance underwritten by NobleOak Life Limited and pet insurance underwritten by RACQ Insurance (**RACQI**).

24. RAC has approximately 1.3 million members. For the financial year ended 30 June 2024, RAC reported $1.3 billion in gross written premiums and net earned premium of over $1 billion.[3]

**The Proposed Acquisition**

25. The Proposed Acquisition would result in IAG underwriting motor insurance and home and contents insurance under the RAC brand. Products currently distributed by RAC under other underwriting arrangements (i.e., travel insurance, health insurance and life insurance) are excluded from the transaction, with the option for IAG to make an offer to supply these insurance products following expiry of the existing arrangements.[4]

26. The Proposed Acquisition does not involve the acquisition by IAG of RAC's roadside assistance business or its other operations including RAC's auto servicing and repair services, finance, retirement living, home security, batteries, tyres, travel and tourism operations. These businesses would continue to be independently operated by RAC and are not affected by the Proposed Acquisition.

## Industry background

**Personal lines general insurance**

27. Personal lines general insurance includes insurance products and related services taken out by individuals and families, including home and contents, motor, travel, and pet insurance.

28. Motor insurance and home and contents insurance encompass a range of risks including those identified in Figure 1 below.

**Figure 1: Home and contents insurance and motor insurance in Australia**

| Insurance product & related services | Description |
|---|---|
| **Home insurance** | |
| **Home (building) and contents** | Home and contents insurance typically covers the building and contents in a single combined policy, including the risks outlined in relation to home (building) insurance and contents insurance below. |

[3] IAG, *ASX release 15 May 2025* (Web page) <https://www.iag.com.au/content/dam/corporate-iag/iag-aus/au/en/documents/newsroom/may-15-iag-enters-strategic-alliance-with-rac-announcement-investor-slides.pdf>.

[4] Pet insurance distributed by RACI and underwritten by RACQI will be acquired by IAG upon completion of IAG's acquisition of RACQI. Once the Proposed Acquisition is completed, RACWA Holdings Pty Ltd (**RACWAH**) will distribute those pet insurance products pursuant to a separate sub-distribution agreement to be entered into by RACI and RACWAH.

| Insurance product & related services | Description |
|---|---|
| **Home (building) insurance** | Home buildings insurance typically covers the cost to repair or rebuild a home if it is damaged or destroyed by a covered incident, for example fire, water damage from leaks, floods and storms, and theft and vandalism, up to the sum insured. Policies may additionally cover accommodation expenses if the home is unliveable. |
| **Contents insurance** | Contents insurance typically covers the cost of replacing items in a policyholder's home, for example furniture, jewellery and electronics, which may be damaged in weather events such as floods, storm and storm surge, fire, leaks, and theft and vandalism.<br><br>Some insurers also offer portable contents insurance, which covers items such as laptops, sunglasses and jewellery, which may be carried with the owner and lost or stolen while they are out. |
| **Landlord insurance** | Landlord insurance covers risks such as loss of rent during repairs, damage caused by fire, loss or damage to furniture and furnishings (e.g. carpet), damage from leaks, flood, storm and storm surge, stolen items and damage caused from theft and vandalism. |
| **Motor insurance** | |
| **Car insurance** | Car insurance protects the policyholder against financial loss if their car is involved in an accident, is stolen or catches fire. Different levels of cover are available and typically include comprehensive cover (including damage to the car and other people's cars in an accident including where it is the driver's fault, other types of damage and theft), third party, fire and theft (covering damage to other people's cars in an accident, and damage caused by fire or theft).<br><br>Some insurers additionally offer insurance specifically for vehicles used for ridesharing, and vehicles insured under a car insurance policy can in some cases be covered when used for ridesharing.<br><br>Compulsory Third Party (**CTP**) insurance, which is legally required in some jurisdictions including Western Australia, is generally considered a separate insurance product. |

| Insurance product & related services | Description |
|---|---|
| **Other vehicles** | General insurers often offer specific policies depending on the vehicle type, for example, boats and heavy vehicles. The types of cover available are often similar to those available for car insurance. |

**Distribution of insurance products**

29. Insurance policies are offered to policyholders through a number of channels, which are substitutable from a demand-side perspective, including the following:

    - **Direct distribution channels** involve the consumer purchasing an insurance policy directly from an insurance provider through one of its brands online, over the phone, or at a branch. Most general insurance policies are sold through direct distribution channels.
    - **Intermediated/indirect channels** involve insurers entering into distribution agreements or partnerships with established companies that do not underwrite insurance policies, such as supermarkets and banks. The non-insurance company then uses its platform and distribution channels to facilitate the sale of general insurance products.
    - **Brokers** provide advice and options to the prospective policyholder, and arrange appropriate policies through insurers.
    - **Comparison websites and aggregators** are generally online platforms that act as a third-party intermediary between insurers and consumers searching for a range of insurance products. Comparison websites active in Australia include Compare the Market, iSelect, Choosi, Canstar, and the Insurance Council of Australia's (**ICA**) 'find an insurer'.

**Acquisition of repair services**

30. Insurers acquire repair services as inputs to the supply of personal lines general insurance. For motor insurance, these services include smash repair services, and windscreen repair and replacement services. For home and contents insurance these include building repair services.

31. Insurers generally acquire these services on a local basis through arrangements with third-party providers. These arrangements may be with local independent operators or through regional and national arrangements with providers such as O'Briens, Drive Group, and AMA Group, or national contractors who subcontract to local providers.

**Insurance suppliers in Western Australia**

32. Personal lines general insurance products are underwritten by insurers who are authorised under the *Insurance Act 1973* (Cth) and regulated by the Australian Prudential Regulatory Authority (**APRA**).

33. In Western Australia, in addition to IAG and RACI, suppliers of personal lines general insurance include established insurers and mid-tier insurers (sometimes referred to as "challenger" brands) as set out in **Figure 2** below.

**Figure 2: Insurance suppliers in Western Australia**

| Insurer | Description |
|---|---|
| **Established insurers** | |
| **Suncorp** | Suncorp is a publicly listed insurance company and the second largest general insurer in Australia. Suncorp's gross written premiums totalled approximately $15.0 billion in the 12 months to 30 June 2025.[5]<br><br>Suncorp's direct and indirect personal lines general insurance brands include Suncorp, AAMI, GIO, Bingle, Vero, Apia, CIL, Terri Scheer, and AA Insurance. |
| **Allianz** | Allianz is a wholly owned subsidiary of the German-based financial services company, Allianz SE.<br><br>Allianz's direct and indirect personal lines general insurance brands include Allianz, TIO, Westpac, NAB, St George, RAMS, Aussie, HSBC, Bank SA, Newcastle Permanent, Catholic Church Insurance, RAA, Kia, Hyundai, BMW, Audi, and Mazda. |
| **QBE** | QBE is a publicly listed insurer offering commercial, casualty and speciality, and personal lines insurance and risk management services. QBE's gross written premiums totalled approximately $8.0 billion in the 12 months to 30 June 2024.[6]<br><br>QBE's direct and indirect personal lines general insurance brands include QBE, Australia Post, Stella, Mercedes Benz, Elders Insurance, and Kogan Insurance. |
| **Mid-tier insurers (sometimes known as "challenger" brands)** | |

5 Suncorp, FY25 Annual Report: Building futures and protecting what matters (Report, 25 August 2025).

6 QBE Insurance Group, QBE: 2024 Annual Report (Report, 31 December 2024).

| Insurer | Description |
|---|---|
| **Auto & General** | Auto & General is part of the international, privately held group BHL Holdings Limited, headquartered in the United Kingdom.<br><br>Auto & General's direct and indirect personal lines general insurance brands include Budget Direct, Qantas, and Coles. |
| **Youi** | Youi commenced offering personal lines general insurance in 2008 and supplies home and motor insurance in most parts of Australia under its Youi brand. |
| **Hollard** | Hollard is owned by the Netherlands based privately owned insurance business investment holding company, IVM Intersurer B.V.<br><br>Hollard's direct and indirect personal lines general insurance brands include Hollard, CBA, Real Insurance, Everyday Insurance (Woolworths), Bupa, Australian Seniors, and Steadfast. |

34. Historically, motoring clubs supplied motor insurance and sometimes other personal lines general insurance as well as other member services, such as roadside assistance. Over time, several of the state-based motoring clubs have sold their insurance businesses to larger insurers and/or entered long-term exclusive distribution arrangements:

- **New South Wales and Australian Capital Territory:** The motoring club, NRMA demutualised in 2000, separating its road services and insurance operations, and listed its insurance business on the ASX (later becoming IAG).
- **Victoria:** In 1999, NRMA entered a joint venture with motoring club RACV, where NRMA (now, IAG) underwrites RACV-branded home and contents and motor insurance across Victoria, while RACV manages distribution and member engagement.
- **Queensland:** In May 2025, the ACCC announced that it would not oppose IAG's proposed acquisition of a 90 per cent interest in RACQI, Queensland's motoring club insurance business. The deal included a 25-year exclusive distribution agreement allowing RACQ to sell insurance underwritten by IAG under the RACQ brand. The transaction completed on 1 September 2025.
- **South Australia:** In June 2025, the ACCC announced that it would not oppose Allianz's proposed acquisition of the general insurance business (**RAAI**) of the Royal Automobile Association of South Australia (**RAA**). The deal included a 20-year exclusive distribution agreement allowing RAA to sell insurance underwritten by Allianz under the RAA brand. On 1 July 2025, Allianz completed its purchase of RAAI.

- **Northern Territory:** The Automobile Association of Northern Territory (**AANT**) has a long-standing partnership with CGU Insurance (acquired by IAG in 2003), where AANT distributes CGU-brand insurance as an authorised representative on behalf of CGU.

35. In Tasmania, in 2021 the Royal Automobile Club of Tasmania (**RACT**) acquired its insurance business back from Suncorp and now operates it independently. This follows a 50:50 joint venture which RACT had entered into with Suncorp in 2007, creating RACT Insurance Pty Ltd to underwrite home and contents insurance and motor insurance in Tasmania under the RACT brand. Suncorp sold its 50 per cent stake back to RACT Group with the transaction being completed in December 2021.

## Areas of overlap

36. IAG and RACI both underwrite and supply the following insurance products in Western Australia:
    - home insurance, including home (building) insurance, contents insurance, combined home (building) and contents insurance and landlord insurance, and
    - motor insurance (excluding CTP insurance), including comprehensive car insurance, third party fire and theft, third party property insurance, caravan and trailer insurance, and motorcycle insurance including comprehensive, third-party fire and theft and third-party property damage.
37. IAG and RACI also overlap in the acquisition of the following services:
    - smash repair services
    - windscreen repair and replacement services, and
    - building repair services.
38. IAG and RACI also both supply travel insurance and small business insurance, however these do not form part of the Proposed Acquisition, as these parts of the business will remain with RAC.

## Future with and without the acquisition

39. In assessing a proposed acquisition under section 50 of the CCA, the ACCC considers the effects of the acquisition by comparing the likely future state of competition if the acquisition proceeds (the 'with' position) to the likely future state of competition if the acquisition does not proceed (the 'without' position) to determine whether the proposed acquisition is likely to have the effect of substantially lessening competition in any relevant market.
40. The ACCC considers that the likely future competitive environment without the proposed acquisition would be the status quo. That is, RAC would continue to distribute motor insurance and home and contents insurance underwritten by RACI in Western Australia.

## Previous ACCC decisions

**IAG's acquisition of RACQI**

41. On 22 May 2025, the ACCC decided not to oppose IAG's proposed acquisition of RACQI from RACQ.

42. The ACCC's review considered the impact of the proposed acquisition on the supply of home and contents insurance and the supply of motor insurance, focusing on the level of competition provided by other existing insurance providers, how competitive RACQI was, and the likely impact of the acquisition on insurance prices, service offering, and coverage in Queensland.

43. The ACCC found that alternative suppliers of home and contents insurance and motor insurance would continue to provide a competitive constraint on IAG after the acquisition, including Suncorp, Allianz, QBE, Youi, Auto & General, and Hollard.

44. The ACCC's investigation also found RACQI had not been a particularly vigorous competitor in recent times, with little product differentiation and higher prices than competitors and was unlikely to be a vigorous and effective competitor in the future.

**Allianz's acquisition of RAAI**

45. On 12 June 2025, the ACCC decided not to oppose Allianz's proposed acquisition of the RAAI. The ACCC found that other suppliers, in particular Suncorp, IAG, Auto & General and Youi, would continue to compete with, and constrain, a merged Allianz and RAAI after the acquisition, making the transaction unlikely to have the effect of substantially lessening competition.

46. The ACCC also considered the impact of rising reinsurance, regulatory and compliance costs. The ACCC's investigation found evidence that RAAI was facing specific challenges in relation to these costs meaning that it was unlikely to be as competitive as it had been previously.

## Issues of concern:

- **Horizontal unilateral effects in the supply of motor insurance in Western Australia and**
- **Horizontal unilateral effects in the supply of home and contents insurance in Western Australia**

47. The ACCC's preliminary view is that the proposed acquisition is likely to have the effect of substantially lessening competition in the supply of (i) motor insurance and (ii) home and contents insurance in Western Australia because in both of these markets:
    - the Proposed Acquisition would increase concentration in already highly concentrated markets

- RACI is a large and growing competitor that focusses on value for its customers, and competes closely with IAG, and the Proposed Acquisition would remove the significant competitive constraint IAG and RACI presently impose on each other
- absent the Proposed Acquisition RACI is likely to continue to compete strongly in the supply of motor insurance and home and contents insurance in Western Australia, and
- other existing insurers operating in Western Australia, and the threat of new entry or expansion, are unlikely to provide a sufficient competitive constraint on IAG post-acquisition.

48. The ACCC is concerned that the Proposed Acquisition would enable IAG to profitably increase the prices and/or reduce the service quality of its existing brand and RACI brand product offerings in the supply of motor insurance and the supply of home and contents insurance.

49. The ACCC considers that if the Proposed Acquisition substantially lessens competition in the supply of motor vehicle insurance or the supply of home and contents insurance, the Proposed Acquisition is also likely to substantially lessen competition in markets for the acquisition of motor vehicle repair services or the acquisition of home repair services, respectively. However, the ACCC considers that competitive harm in these upstream markets is unlikely to come about in the absence of a substantial lessening of competition in the corresponding downstream market for the supply of motor vehicle insurance or the supply of home and contents insurance. Therefore, the ACCC has not raised its concerns regarding these upstream markets independently in this Statement of Issues.

**Relevant markets**

50. The ACCC's starting point for considering which markets will be affected by the Proposed Acquisition is to identify the areas of overlap between the products actually or potentially supplied by the merger parties. The ACCC then considers other actual or potential suppliers of those products, as well as what other products constitute sufficiently close substitutes to provide a significant source of constraint on the merged entity.

<u>Product dimension</u>

51. The ACCC's preliminary view is that there are likely to be separate product markets for the supply of:
    - motor insurance, and
    - home and contents insurance.

52. The ACCC's preliminary view reflects both supply and demand side considerations. In particular:
    - There is no demand-side substitution between motor insurance and home and contents insurance.
    - Market feedback suggests that while insurers can add and expand product lines, insurers need claims data for a specific insurance product (e.g. home,

motor) to accurately price risk, which means it takes significant time to be competitive when moving into the supply of an insurance product type even if the insurer already offers another product type.

- Market feedback indicates that when insurers develop new product lines, it is typically from a base of motor insurance to home insurance and not vice-versa. Moving from motor insurance into home insurance is reportedly especially difficult, costly and time-consuming, as home insurance is significantly more capital intensive, involves more complex risk, and requires different and more complicated data to price premiums.

53. Despite this preliminary view that the two products are likely to be in separate markets, as the competitive conditions and impacts of the Proposed Acquisition are similar in both downstream product markets, the ACCC considers it convenient to outline its preliminary competitive concerns regarding both markets together.

Geographic dimension

54. Given RACI exclusively supplies motor insurance and home and contents insurance in Western Australia, the existing geographic overlap between the parties is confined to that state. Accordingly, the ACCC has focused its review of the impact of the Proposed Acquisition on competition in Western Australia as a separate market or as a segment in a national market.

**Market concentration**

55. The supply of both motor insurance and home and contents insurance in Western Australia is highly concentrated, and the Proposed Acquisition would result in a significant increase in IAG's market share in both product markets.

56. RAC is the largest supplier of both motor insurance and home and contents insurance in Western Australia and has a significantly larger market share in each compared to any other insurer. IAG is the third largest motor insurer and the second largest home and contents insurer in Western Australia.

57. The ACCC is concerned that the Proposed Acquisition would consolidate the market in Western Australia with a small number of large insurers, namely, IAG, Suncorp, and Allianz. Post merger, market share estimates show these large insurers would have 70 – 80 per cent market share in home and contents and motor insurance in Western Australia insurance.

58. Further, the ACCC is concerned that the merged entity would be considerably larger than other insurers, with a market shares of 60 – 70 per cent in motor insurance and 50 – 60 per cent in home and contents insurance.

59. The ACCC has calculated the Herfindahl-Hirschman Index (**HHI**) as a measure of market concentration. The ACCC considers that markets with an HHI greater than 2,000 are highly concentrated, and a change in HHI of more than 100 points is a significant increase in concentration.[7] The ACCC estimates that:

[7] ACCC, Merger assessment guidelines 2025, paragraph 1.24

- The post-acquisition HHI would be approximately 4,400 in the supply of motor insurance and approximately 3,200 in the supply of home and contents insurance in Western Australia.
- The change in HHI in both motor insurance and home and contents insurance in Western Australia is very substantial.

60. The increase in HHIs attributable to the Proposed Acquisition is one factor considered by the ACCC along with other factors such as closeness of competition and the effectiveness of rivals, given the differentiated nature of the insurance products offered. That said, given the market shares and positions of RACI and IAG, the ACCC considers it likely that these insurers compete closely for new and existing customers in motor insurance and home and contents insurance, and is concerned the Proposed Acquisition would remove the constraint these insurers impose on each other.

**RACI is a strong and growing competitor**

61. The ACCC's preliminary view is that RACI is a strong and growing competitor in the supply of motor insurance and home and contents insurance in Western Australia.

62. RACI is a highly trusted member-owned association that has a strong and positive reputation with customers. Market participants noted that RACI provides competitive pricing and a high quality, customer-focused service offering.

63. RACI is the leading supplier of both motor insurance and home and contents insurance in Western Australia and has grown its market share strongly in both markets over the past five years, demonstrating its effectiveness as a competitor. For example, there are estimates that RACI has grown its market share in Western Australia from approximately 35% in 2019 to approximately 50% in 2024.[8]

64. RACI's high-quality customer service offering is reflected in CHOICE's 2023 and 2025 customer survey results, which show that RACI performed above average in both customer satisfaction and claims experience across home and motor insurance, consistently ranking among the top three or four insurers.[9] Additionally, RACI has received Canstar's award for 'Most Satisfied Customers' in motor insurance in Western Australia for seven consecutive years (2019 to 2025).[10]

65. The ACCC is concerned that in removing a strong and growing competitor, the Proposed Acquisition may allow IAG to profitably increase the premiums and reduce the quality of both its current, and its acquired RACI-branded, product offerings in Western Australia.

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8 According to research conducted by Jarden: Insurance News, *Analysts warn IAG faces higher hurdle on RAC deal* (Web page) <https://www.insurancenews.com.au/corporate/analysts-warn-iag-faces-higher-hurdle-on-rac-deal>.

9 CHOICE, *CHOICE car insurance survey: RAA car insurance takes out top spot again* (Web page) <https://www.choice.com.au/money/insurance/car/articles/car-insurance-customer-satisfaction>; CHOICE, *CHOICE home insurance survey: RACQ in top spot for customer experience again* (Webpage) <https://www.choice.com.au/money/insurance/home-and contents/articles/home-insurer-satisfaction>; CHOICE, *Allianz, NRMA, QBE, AAMI, GIO and Suncorp insurance compared* (Webpage) <https://www.choice.com.au/money/insurance/insurance-advice/articles/allianz-nrma-qbe-aami-gio-and-suncorp-insurance-compared>.

10 RAC, *Comprehensive car insurance* (Webpage) <https://rac.com.au/car-motoring/car-insurance/comprehensive>.

66. In addition, one element of the ACCC's concern is the change in business model of RACI from being part of a member-owned incorporated association, where insurance customers also become members, to being part of an ASX-listed corporation, and whether this could result in a change to the way RACI's insurance products are supplied and priced. In particular, the ACCC is concerned that IAG could profitably increase the prices and/or reduce the service quality of its RACI branded products in excess of what would otherwise occur. An increase in price or reduction in the quality of the service provided with RACI branded products could, in turn, enable IAG to further increase the prices and/or reduce service quality of its IAG-branded products and lessen competition.

**Absent the Proposed Acquisition, RACI would continue to compete strongly in Western Australia**

67. The ACCC's preliminary view is that RACI would continue to compete strongly in the supply of motor insurance and the supply of home and contents insurance in Western Australia absent the Proposed Acquisition.

68. The ACCC understands that the insurance industry generally is facing challenges that could impact the profitability and competitiveness of insurers. These challenges include increasing regulatory and compliance costs, increasing claims volumes and expenses, rising reinsurance costs due to more extreme weather events, and the requirement to hold larger capital reserves for claims and natural disasters.

69. The ACCC also understands that some state-based, mutual organisations have experienced heightened vulnerability to these challenges, because they are not able to diversify risk to the same extent as national (or international) insurers and have a more limited ability to raise capital than non-mutual insurers.

70. However, as set out above, RACI is the largest supplier of motor insurance and home and contents insurance in Western Australia by a significant margin. Importantly, while the insurance industry has faced challenges for a number of years, RACI has been able to grow its market share and also remain profitable in the supply of insurance during that time.[11] RACI also has a highly trusted brand and a strong and positive reputation in Western Australia.

71. As such, the ACCC's preliminary view is that, in the absence of the Proposed Acquisition, RACI is likely to continue to compete strongly in the supply of both motor insurance and home and contents insurance in Western Australia.

**Post-acquisition, IAG is unlikely to be sufficiently constrained by rival insurers**

72. Several insurers in addition to IAG and RACI provide motor insurance and home and contents insurance in Western Australia. These insurers include established insurers Suncorp, Allianz and QBE, and mid-tier insurers Auto & General, Youi and Hollard.

73. However, the ACCC's preliminary view is that these insurers are unlikely to provide a sufficient competitive constraint on IAG post-acquisition in Western Australia.

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[11] RAC, Annual Concise Report, 2023-2024, (Report, 2024).

74. In particular, the ACCC's investigation to date suggests that established insurers have struggled to build and maintain market share, and that mid-tier insurers (such as Auto & General and Youi) have struggled to gain material market share, in Western Australia. This is in contrast to the position of established insurers in other Australian states, as well as the growth mid-tier insurers have achieved in other states. This lack of market share and growth appears to be due to the strong competitive position of RACI, including its high levels of brand awareness and customer loyalty.

75. Another factor influencing their low levels of growth, which the ACCC is continuing to consider, may be that mid-tier brands face difficulties accessing repair services due to the strength of RACI as an acquirer of those services. This factor is explored further in the 'issue that may raise concerns' below.

**Post-acquisition, IAG is unlikely to be sufficiently constrained by the threat of new entry or expansion**

76. The ACCC considers there is a low likelihood of timely new entry or expansion on a sufficient scale in Western Australia to constrain IAG post-acquisition from significantly raising the prices or worsening the quality or terms of its own and its RACI-branded insurance products.

77. Barriers identified include significant capital requirements, high sunk costs, licensing timeframes, strict regulatory obligations, brand loyalty, and limited access to repair services networks and skilled employees.

78. There have been few genuine new entrants to the supply of motor insurance or home and contents insurance in Australia in recent years (with the most recent successful new entries being Youi into motor insurance in 2008 and home and contents insurance in 2009, and Sure Insurance into home and contents insurance in regional Queensland in 2019), and the ACCC has not been able to identify any examples of likely new entrants able to provide a sufficient constraint on IAG in a timely manner.

**Questions for market participants**

The ACCC invites comments from market participants regarding (i) competition in the supply of motor insurance in Western Australia and (ii) competition in the supply of home and contents insurance in Western Australia. In particular, market participants may wish to comment on the following:

- whether there are particular features of the motor insurance and/or home and contents insurance markets in Western Australia and/or certain areas of Western Australia, which differ compared to the rest of Australia
- how closely IAG and RACI compete in Western Australia
- how effective a competitor RACI is in Western Australia, and on what factors it competes most strongly (e.g. price, service quality, coverage, etc), and on what factors it does not compete strongly
- the challenges being faced by the insurance industry and the impact this could have on insurers and insurance products, including whether RACI is likely to experience

heightened vulnerability to these challenges as a state-based, mutual organisation, and

- the competitive constraint that established insurers and mid-tier insurers are likely to impose on the merged IAG/RACI in Western Australia, including the constraint provided by those which have a larger market share outside of Western Australia.

## Issue that may raise concerns: foreclosure of competing suppliers of motor insurance and competing suppliers of home and contents insurance in Western Australia

79. The ACCC's preliminary view is that the proposed acquisition may have the effect of substantially lessening competition in the supply of (i) motor insurance and (ii) home and contents insurance in Western Australia and/or certain regions of Western Australia by also providing IAG with the ability and incentive to foreclose or partially foreclose competing insurers' access to repair services.

80. This may occur through IAG using its increased bargaining power to obtain preferential terms and/or partial or full exclusivity from repairers, thereby restricting rival insurers' access to repairers and/or raising rival insurers' costs of acquiring repair services in Western Australia or lowering the quality of service they can obtain. This would weaken rivals' ability to impose a sufficient competitive constraint in the supply of motor and/or home and contents insurance in Western Australia.

**Relevant markets**

81. The ACCC considers there are likely to be separate markets for the acquisition of smash repair and windscreen repair and replacement services (for motor insurance) and building repair services (for home and contents insurance) due to a lack of substitutability between these different types of repair service.

82. Similar to the reasons set out above, the ACCC has focused the review on the impact of the Proposed Acquisition on competition in Western Australia. However, to the extent that motor and/or home repairers operate nationally, anticompetitive effects from the merged entity's exercise of increased bargaining power may extend beyond Western Australia to the rest of the country.

**Ability and incentive to foreclose**

83. As set out above, the Proposed Acquisition would result in IAG having shares of 60 – 70 per cent in motor insurance and 50 – 60 per cent in home and contents insurance in Western Australia and being significantly larger than its competitors in both markets.

84. As such, post-acquisition, IAG would likely be the largest acquirer of smash repair, windscreen replacement and repair, and home repair services in Western Australia by a considerable margin. It may therefore have an increased ability to secure more favourable commercial terms from repair providers, including partial or full exclusivity.

85. Market participants have expressed concern that IAG would have the incentive to leverage its increased bargaining power to negotiate exclusive, reserved, or priority access to repair services in Western Australia or certain regions in the state. Further, even absent formal contractual arrangements, market feedback indicates that repairers naturally prioritise work from larger insurers who can offer consistent, high-volume referrals.

86. Market feedback indicates that the merged entity's ability to engage in such conduct may be strengthened in capacity constrained areas where repairers are more dependent on large insurers for work and where insurers' repairer options are limited, including in in regional areas such as Geraldton, Busselton, Bunbury, Karratha, Broome, and Exmouth.

87. The ACCC is concerned that such conduct could effectively restrict rival insurers from accessing efficient repair services, and/or increase rival insurers' costs or lower the quality and timeliness of repair services available to them.

88. Market participants have most strongly expressed concerns in relation to the acquisition of smash repair services, however the ACCC is also continuing to consider the impact of the Proposed Acquisition on windscreen repair and replacement services and building repair services.

**Effect of foreclosure**

89. The ACCC's preliminary view is that the foreclosure of rival insurers' access to repair services post-acquisition may have the effect of substantially lessening competition in each of the supply of motor insurance and the supply of home and contents insurance in Western Australia independent of the horizontal effects that may arise as a result of the aggregation in the parties' supply of insurance.

90. Access to efficient and timely repair services is an essential input for claims fulfilment in the supply of motor insurance and home and contents insurance. Market participants have expressed concern that rival insurers, particularly mid-tier brands, may have fewer options to access viable claims fulfilment channels post-acquisition, and that reduced, inferior, or higher-cost access to these services would weaken an insurer's ability to compete in the downstream market.

91. In particular, the ACCC is concerned that such foreclosure conduct could:

    - raise rivals' costs of claims fulfilment and reduce their ability to compete on price and service (including in relation to repair times) in the supply of insurance
    - force smaller rival insurers to exit Western Australia or certain regions in Western Australia
    - deter entry or expansion of rival insurers in Western Australia or certain regions in Western Australia
    - enable the merged entity to profitably increase premiums because its competitive constraints had softened, and
    - entrench the merged entity's dominant market position in the supply of home and contents insurance and motor insurance.

92. For consumers, particularly in regional Western Australia, these effects may result in reduced availability of nearby repair options, longer repair wait times, and lower claims satisfaction. Over time, this may increase premiums and worsen service offerings for Western Australian consumers.

**Questions for market participants**

The ACCC invites comments from market participants regarding the risk of foreclosure of competing personal lines general insurance suppliers in Western Australia. In particular, market participants may wish to comment on the following:

- any regions in Western Australia where smash repair, windscreen repair and replacement services, and building repair services are limited or capacity constrained
- the degree to which contractual arrangements with repairers provide for exclusivity or priority access
- the extent to which repairers in practice prioritise work from larger insurers
- the extent to which the merged entity would be in an enhanced position to foreclose or frustrate competing insurers' access to each of (i) smash repair services, (ii) windscreen repair and replacement services, and (iii) building repair services
- the incentives for the merged entity to exercise its increased bargaining power with respect to repairers to obtain exclusive, reserved or priority access to repair services in Western Australia or certain regions in the state
- the likely effect of any foreclosure strategies, including the extent to which rival insurers would become less vigorous competitors in the downstream supply of home and contents insurance and motor insurance.

## ACCC's future steps

93. As noted above, the ACCC invites submissions from market participants on each of the issues identified in this Statement of Issues and on any other issue that may be relevant to the ACCC's assessment of this matter. Submissions should be emailed to mergers@accc.gov.au by no later than **5pm on 18 September 2025**.

94. The ACCC will finalise its view on this matter after it considers submissions invited by this Statement of Issues.

95. The ACCC intends to publicly announce its final view by **27 November 2025**. However the anticipated timeline may change in line with the *Informal Merger Review Process Guidelines*. A Public Competition Assessment explaining the ACCC's final view may be published following the ACCC's public announcement.